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VANGUARD

2023 Second Quarter Results

Investor Conference

August 1, 2023

Agenda

- Welcome
- 2Q23 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

2Q23 Result Highlights

Amount : NT$ Million	2Q23	1Q23	2Q22
	Amount	Amount	Amount
Net Revenue	9,854	8,187	15,301
Net Income	1,995	1,364	4,887
EPS (NT$)	1.21	0.82	2.94
Cash and Financial Instruments	33,058	33,927	39,586
Equity	41,367	46,613	37,909
Total Wafers Shipped (Kpcs)	511	414	773

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	2Q23		1Q23		2Q22		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	9,854	100.0	8,187	100.0	15,301	100.0	20.4	(35.6)
Cost of Revenue	(6,895)	(70.0)	(5,728)	(70.0)	(7,656)	(50.0)	20.4	(9.9)
Gross Profit	2,959	30.0	2,459	30.0	7,645	50.0	20.4	(61.3)
Operating Expenses	(1,154)	(11.7)	(1,093)	(13.4)	(1,734)	(11.3)	5.5	(33.5)
Operating Income	1,806	18.3	1,365	16.7	5,912	38.6	32.3	(69.5)
Net Non-operating Income	402	4.1	335	4.1	197	1.3	20.2	103.9
Income before Income Tax	2,208	22.4	1,700	20.8	6,109	39.9	29.9	(63.9)
Net Income	1,995	20.2	1,364	16.7	4,887	31.9	46.3	(59.2)
Diluted EPS (NT$)	1.21		0.82		2.94		47.6	(58.8)

Balance Sheets & Key Indices

Amount : NT$ Million

Selected Items from Balance Sheets	Jun. 30, 2023		Mar. 31, 2023		Jun. 30, 2022	
	Amount	%	Amount	%	Amount	%
Total Assets	**101,950**	**100.0**	**101,780**	**100.0**	**102,463**	**100.0**
Cash & Financial Instruments	33,058	32.4	33,927	33.3	39,586	38.6
Accounts Receivable	6,385	6.3	4,800	4.7	10,318	10.1
Inventories	6,354	6.2	6,160	6.1	4,635	4.5
Total Current Assets	**46,724**	**45.8**	**45,629**	**44.8**	**55,166**	**53.8**
Property, Plant and Equipment	**38,548**	**37.8**	**39,271**	**38.6**	**35,352**	**34.5**
Notes and Accounts Payable	1,201	1.2	1,097	1.1	1,703	1.7
Cash Dividends Payable	7,375	7.2	0	0.0	7,375	7.2
Accrued Liabilities and Others	19,357	19.0	20,301	19.9	19,413	18.9
Total Current Liabilities	**27,933**	**27.4**	**21,398**	**21.0**	**28,491**	**27.8**
Total Non-current Liabilities	**32,649**	**32.0**	**33,769**	**33.2**	**36,063**	**35.2**
Total Equity	**41,367**	**40.6**	**46,613**	**45.8**	**37,909**	**37.0**

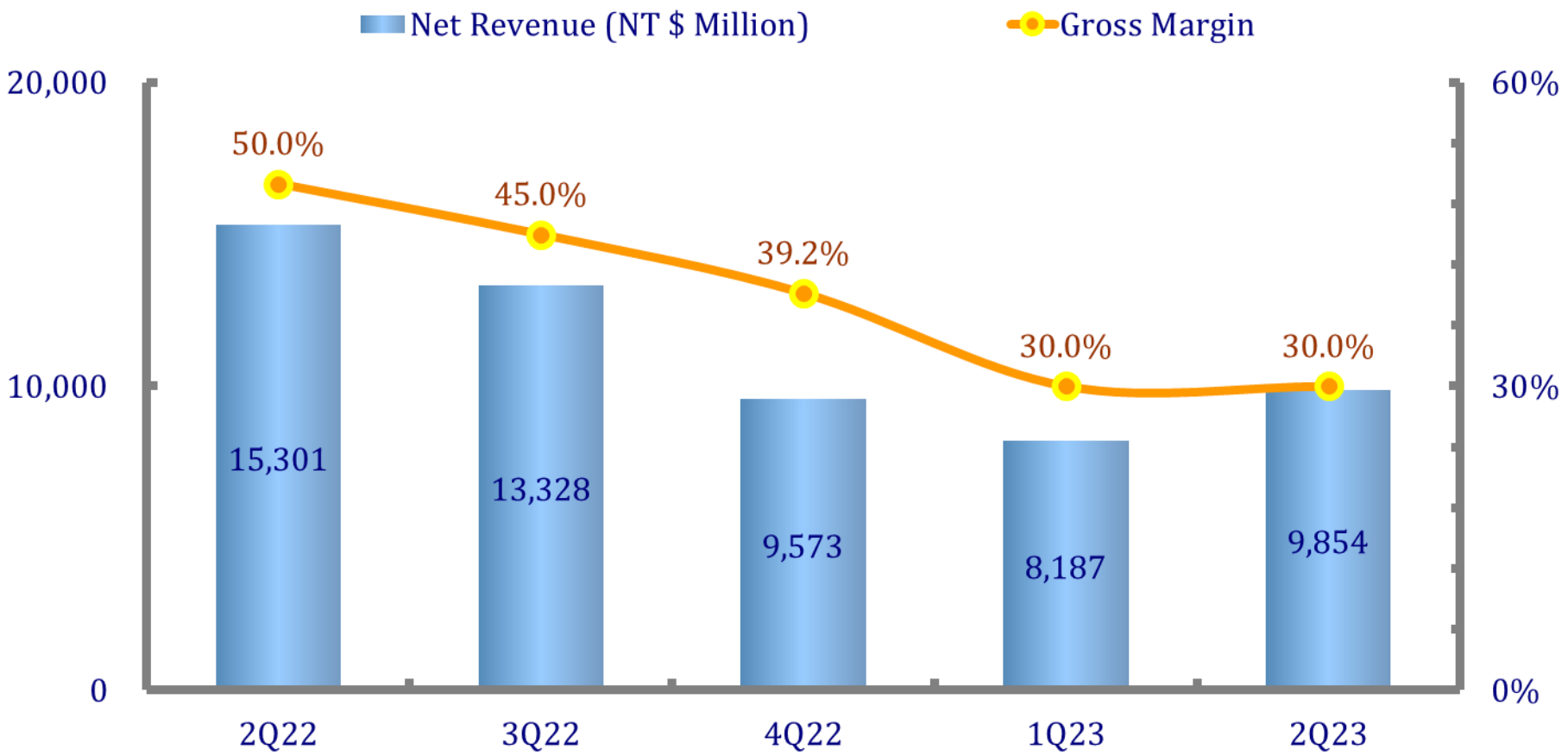
Key Indices			
A/R Turnover Days	**57**	**54**	**63**
Inventory Turnover Days	**88**	**96**	**54**
Debt Ratio	**59%**	**54%**	**63%**
Current Ratio	**167%**	**213%**	**194%**
Net Working Capital	**18,791**	**24,231**	**26,675**

Cash Flows

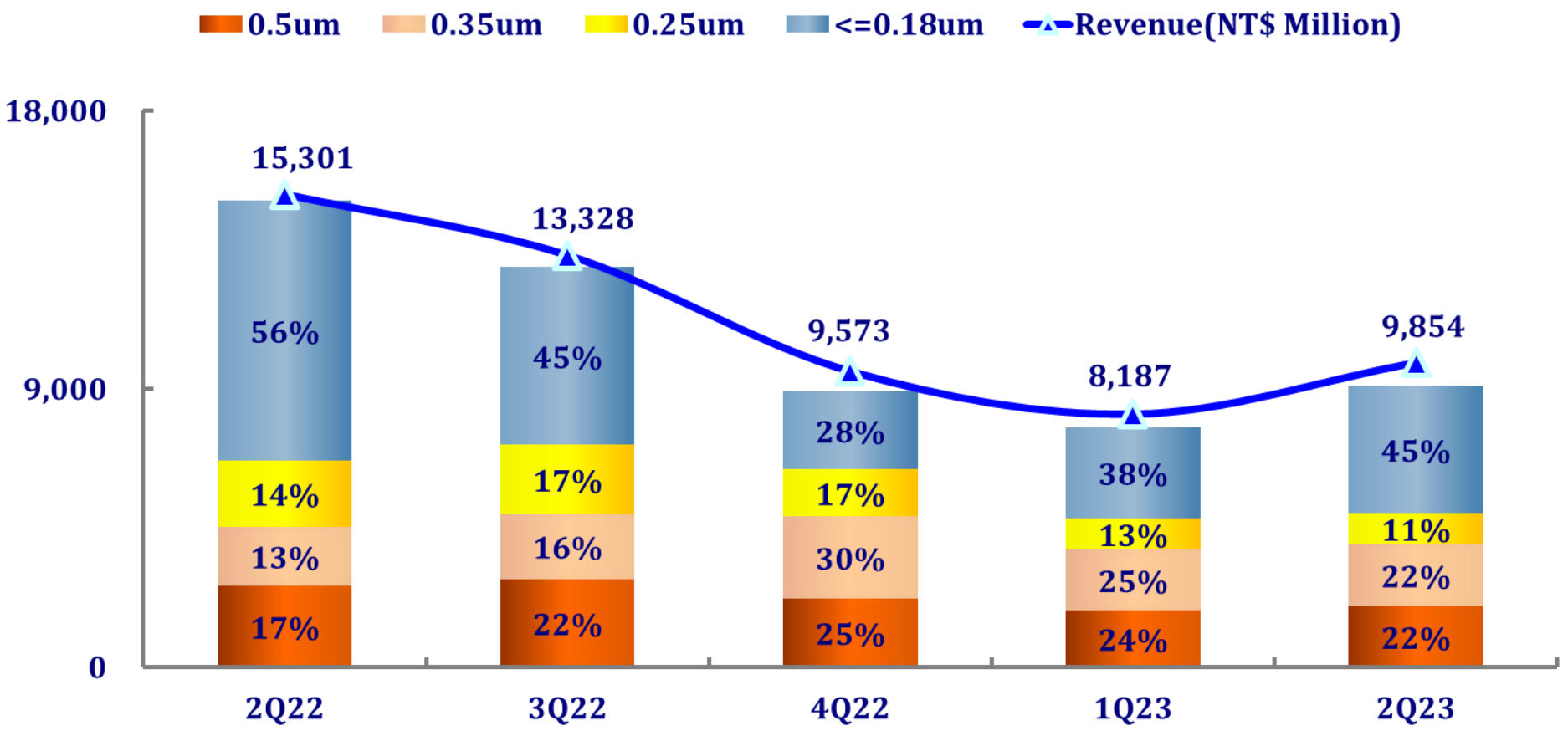
Amount : NT$ Million	2Q23	1Q23	2Q22
Selected Items from Cash Flows	**Amount**	**Amount**	**Amount**
Cash - Beginning of Period	***28,428***	***30,857***	***29,426***
– Income before Income Tax	2,208	1,700	6,109
– Depreciation & Amort.	1,894	1,824	1,347
– Changes of Notes and Accounts Receivable	(1,678)	100	(1,382)
– Changes of Inventories	(194)	(280)	(378)
– Prepayment from Customers	0	869	5,379
– Income Taxes Paid	(2,326)	(21)	(1,531)
– Changes of Notes and Accounts Payable/ Others	393	(1,426)	1,925
From Operation	**297**	**2,766**	**11,467**
– (Increase) decrease in Financial Assets	(259)	(2,342)	517
– Acquisitions of PP&E and Intangible Assets	(1,621)	(2,871)	(6,937)
– Dividends Received	29	0	32
– Refundable Deposit and Others	0	98	(0)
From Investment	**(1,850)**	**(5,115)**	**(6,388)**
– (Decrease) increase in Guarantee Deposits Received from Customers	(21)	10	2,970
– Decrease in Lease Liabilities	(54)	(54)	(67)
– Others	(7)	(1)	2
From Financing	**(81)**	**(44)**	**2,905**
Net (Decrease) Increase in Cash	**(1,634)**	**(2,393)**	**7,984**
Effect of Exchange Rate Changes	83	(37)	102
Cash - End of Period	***26,876***	***28,428***	***37,512***

Remarks

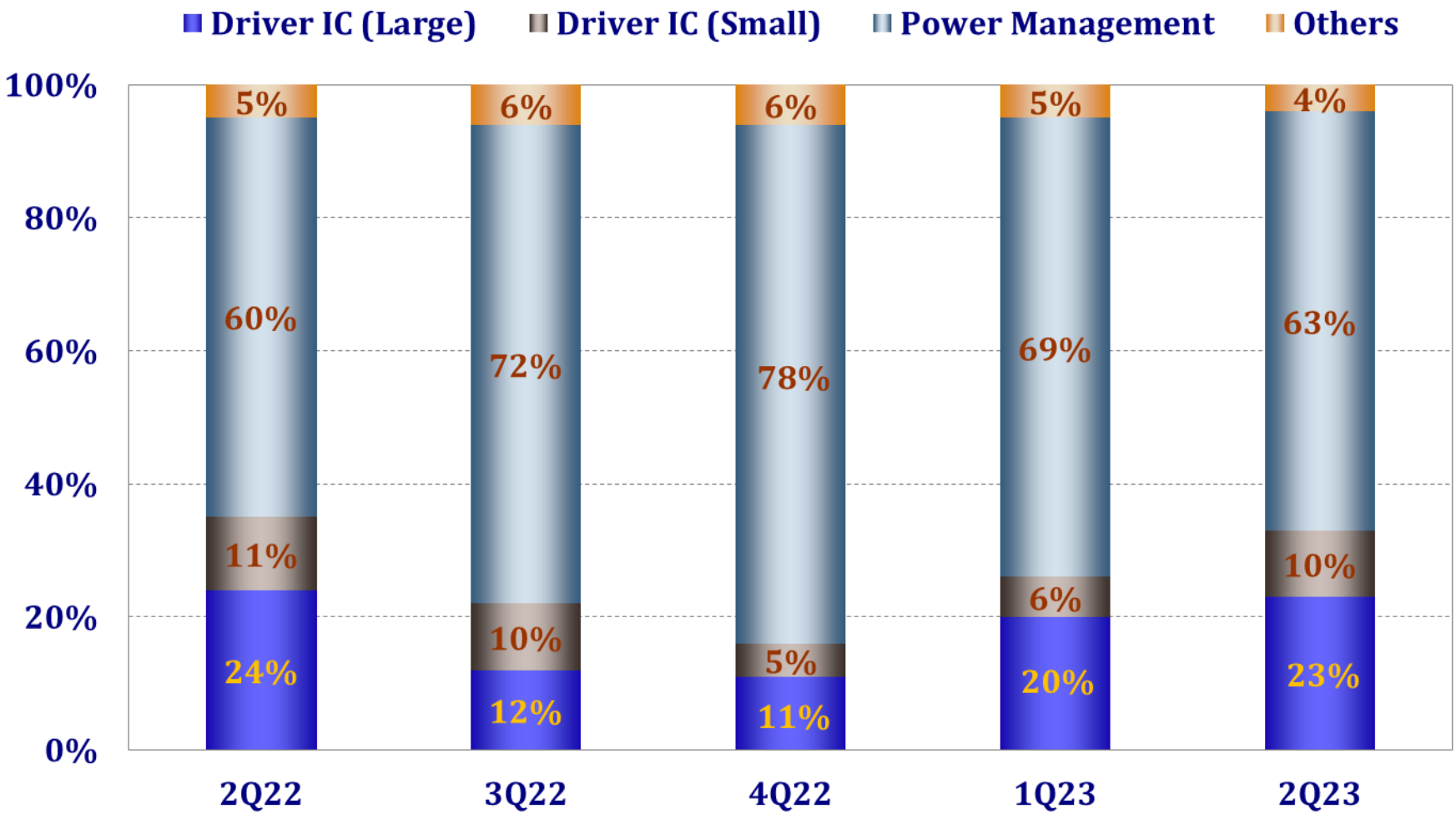
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



2Q23 Result Summary & Guidance Comparison

2Q23	Result	Guidance
Revenue	NT$9,854M	to be between NT$ 9.4 billion and NT$ 9.8 billion
Gross Profit Margin	30.0%	to be between 29% and 31%
Operating Profit Margin	18.3%	to be between 16.5% and 18.5%

3Q23 Guidance

- Wafer shipment to increase by 4% to 6% QoQ;
- Blended ASP to be about flat QoQ;
- Gross profit margin to be between 25% and 27%.

Q & A

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